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PropertyThesis

Know the Numbers. Make the Offer.

Investment Property Analysis

Sample Two-Unit Rental Property

Acquisition Price: $319,000 **Prepared by:** Report Author

Report type: Illustrative demonstration | propertythesis.com

Property Thesis

This illustrative property presents a mixed investment case. Income supports the acquisition basis, but the short loan amortization creates financing pressure and negative operating cash flow. Year 1 debt coverage of 0.63x is below typical coverage benchmarks. Lower leverage, a longer amortization period, or stronger NOI would be important scenarios to evaluate before making an offer.

Key Investment Findings

Acquisition Position

Below Income Range

Support $438,646 - $440,880

Return Requirement

12.77% IRR

Above the 10.00% required return

Debt Coverage

0.63x

Below a 1.25x reference coverage

Year 1 Cash Yield

-29.19%

After-tax cash-on-cash return on $63,800

Investment Analysis Summary

Interpretation of the modeled acquisition, operations, financing, valuation and return profile.

Acquisition & Income Position

The acquisition price of $319,000 is below the income-supported range of $438,646 to $440,880. Year 1 NOI is $28,512, producing an 8.94% cap rate against a 6.50% target. The income yield supports the purchase basis, but it does not by itself establish residential market value.

Financing & Cash Flow

The proposed loan produces annual debt service of $45,475 and Year 1 DSCR of 0.63x. After-tax operating cash flow is ($18,623). The investor must contribute cash during ownership even though scheduled principal reduction increases equity.

Long-Term Investment Case

Over the seven-year holding period, IRR is 12.77% against a 10.00% required return and NPV is $20,279. Projected after-tax equity reversion is $345,413. The result depends significantly on principal reduction and sale proceeds, not current cash yield.

Investment Assessment: Mixed investment profile. The modeled long-term return meets the selected hurdle, but the recurring cash deficit must be funded. Validate rent, expenses, financing and exit assumptions before relying on this illustration.

Investment Snapshot

Acquisition Price **$319,000**	Year 1 NOI **$28,512**	Capitalization Rate **8.94%** Target 6.50%	Gross Rent Multiplier **6.04x** Target 8.35x
Cash-on-Cash Return **-29.19%**	Year 1 DSCR **0.63x**	Internal Rate of Return **12.77%** Required 10.00%	Net Present Value **$20,279**

Acquisition & Operating Assumptions

The example assumes a $319,000 acquisition, two units at $2,200 per month per unit, 10.0% vacancy and credit loss, and operating expenses equal to 40.0% of effective gross income. Year 1 effective gross income is $47,520 and NOI is $28,512.

Rent grows 2.0% annually beginning in Year 2, property value grows 3.0% annually, and the holding period is seven years. Selling expenses are 5.0%. These are demonstration assumptions, not verified market evidence or guaranteed outcomes.

Property & Operations

Acquisition Price	**$319,000**
Land Value	**$130,000**
Units / Apartments	**2**
Monthly Rent / Unit	**$2,200**
Rent Growth Starting Year 2	**2.00%**
Vacancy & Credit Loss	**10.00%**
Operating Expenses as % of EGI	**40.00%**

Long-Term Assumptions

Depreciable Life	**27.5 years**
Annual Property Value Increase	**3.00%**
Expected Holding Period	**7 years**
Selling Expenses	**5.00%**
Ordinary Income Tax Rate	**28.00%**
Depreciation Tax Rate	**25.00%**
Capital Gains Tax Rate	**15.00%**

All figures are illustrative. The sample contains no selected rental or sale comparables. Market-evidence sections appear in customer reports when the corresponding research is included.

Income-Based Valuation

Calculated income approaches plus professional reconciliation from Review Results.

> Direct capitalization indicates $438,646 and the selected GRM indicates $440,880. The acquisition price is 27.5% below the midpoint of these income indications.
>
> The modeled 8.94% cap rate exceeds the selected 6.50% target. Income support is not automatically the property's residential market value; no reconciled investment value has been entered in this illustration.

Direct Capitalization Value
$438,646
Desired cap 6.50%

GRM Value
$440,880
Desired GRM 8.35x

Income-Supported Range
$438,646 - $440,880

Reconciled Investment Value
Not entered

Acquisition Price vs. Reconciled Value
Not Reconciled

Financing Summary

> The loan equals 80.0% of acquisition price. Its seven-year amortization creates a monthly payment of approximately $3,790. Year 1 debt service is $45,475, including $15,712 of interest and $29,763 of principal reduction. NOI does not cover debt service. The loan is paid off by the modeled sale.

Loan Amount
$255,200

Loan Structure
Amortizing
7-year amortization

Mortgage Rate
6.50%

Monthly Payment
$3,790

Year 1 Debt Service
$45,475

Year 1 Interest
$15,712

Year 1 Principal
$29,763

Loan Balance at Sale
$0

Total Principal Paid During Hold
$255,200

Projected Operating Performance

Year 1 potential gross income is $52,800. After the 10.0% vacancy allowance, effective gross income is $47,520. Operating expenses of $19,008 leave NOI of $28,512, a 60.0% NOI margin.

After financing and modeled income taxes, Year 1 operating cash flow is ($18,623). It reaches ($19,995) in Year 7 as deductible interest declines. The investor must fund the operating shortfalls throughout the hold.

Year 1 Potential Gross Income
$52,800

Year 1 Effective Gross Income
$47,520

Year 1 Operating Expenses
$19,008

Year 1 NOI
$28,512

Year 1 After-Tax Cash Flow
($18,623)

Final-Year After-Tax Cash Flow
($19,995)

Year	PGI	EGI	NOI	Debt Service	After-Tax CF
1	$52,800	$47,520	$28,512	$45,475	($18,623)
2	$53,856	$48,470	$29,082	$45,475	($18,770)
3	$54,933	$49,440	$29,664	$45,475	($18,947)
4	$56,032	$50,429	$30,257	$45,475	($19,155)
5	$57,152	$51,437	$30,862	$45,475	($19,397)
6	$58,295	$52,466	$31,480	$45,475	($19,676)
7	$59,461	$53,515	$32,109	$45,475	($19,995)

Each modeled year is shown. Figures are rounded to whole dollars; totals and ratios use underlying unrounded amounts.

Disposition & Tax Summary

The projected gross sale price after seven years is $392,330 at 3.0% annual appreciation. Selling expenses are $19,616, leaving net sale proceeds of $372,713 before debt and taxes.

With no remaining loan balance and estimated sale taxes of $27,301, after-tax equity reversion is $345,413. Future selling price, transaction costs and tax treatment can materially change this result.

Projected Gross Sale Price	Selling Expenses	Net Sale Price	Loan Payoff
$392,330	**$19,616**	**$372,713**	**$0**

Taxes Due on Sale	After-Tax Equity Reversion
$27,301	**$345,413**

Taxes Due on Sale

Net Sales Price	**$372,713**
Book Value	**$270,891**
Gain / Loss on Sale	**$101,822**
Accumulated Depreciation	**$48,109**
Total Taxes Due on Sale	**$27,301**

Year	NOI	Interest	Depreciation	Taxable Income	Taxes From Operations
1	$28,512	$15,712	$6,873	$5,928	$1,660
2	$29,082	$13,718	$6,873	$8,491	$2,378
3	$29,664	$11,592	$6,873	$11,200	$3,136
4	$30,257	$9,322	$6,873	$14,062	$3,937
5	$30,862	$6,901	$6,873	$17,088	$4,785
6	$31,480	$4,318	$6,873	$20,289	$5,681
7	$32,109	$1,561	$6,873	$23,675	$6,629

Investment Return Analysis

Return metrics use the complete after-tax investment cash-flow series.

The modeled investment produces a 12.77% IRR versus a 10.00% required return. NPV is $20,279. Both measures meet the selected return hurdle under the demonstration assumptions.

Year 1 after-tax cash-on-cash return is -29.19% on an initial investment of $63,800. The recurring operating deficit reduces the practical attractiveness of the long-term return. A substantial share of the outcome depends on $345,413 of after-tax equity reversion at sale.

Initial Cash Investment
$63,800

Required Rate of Return
10.00%

Calculated IRR
12.77%

NPV
$20,279

Year 1 Cash-on-Cash Return
-29.19%

After-Tax Equity Reversion
$345,413

Cash Flow Component	Year 0	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7
Initial Investment	($63,800)	$0	$0	$0	$0	$0	$0	$0
After-Tax Operating Cash Flow	$0	($18,623)	($18,770)	($18,947)	($19,155)	($19,397)	($19,676)	($19,995)
After-Tax Equity Reversion	$0	$0	$0	$0	$0	$0	$0	$345,413
Total Investment Cash Flow	($63,800)	($18,623)	($18,770)	($18,947)	($19,155)	($19,397)	($19,676)	$325,418

Year 7 includes operating cash flow plus sale proceeds. IRR and NPV are not calculated from pre-tax operating cash flow.

Investment Recommendation / Offer Analysis

Acquisition guidance based on selected capitalization-rate and required-return benchmarks.

Current Acquisition Price **$319,000** Cap 8.94% | IRR 12.77%	**Price Supported by Target Cap** **$438,646** Maximum at 6.50% Year 1 cap	**Price Supported by Required IRR** **$395,045** Maximum at 10.00% modeled IRR	**Maximum Price Meeting Both** **$395,045** Lower of cap- and IRR-supported prices
Suggested Opening Offer **$375,293** 5% below maximum supported price	**Price Gap to Maximum Support** **$76,045** 19.2% below maximum support	**Rent Needed for Target Cap** **$1,600** Monthly rent per unit	**Rent Needed for Required IRR** **$1,777** Monthly rent per unit

PropertyThesis Acquisition Guidance: The current acquisition price is below the maximum modeled price that satisfies both targets. The opening-offer figure is a formula-based scenario relative to maximum support, not a recommendation to raise an existing lower asking price. Financing coverage and recurring cash requirements still need to be addressed.

5% Cap Purchase Price **$570,240**	**6% Cap Purchase Price** **$475,200**	**7% Cap Purchase Price** **$407,314**	**8% Cap Purchase Price** **$356,400**

Methodology: price scenarios preserve the current loan-to-value and land-value ratios. Maximum supported price is the lower of the cap- and IRR-supported prices. The opening discount is a negotiation preference; it does not change the underlying assumptions.

Investment Conclusion

Final reconciliation of income, financing, valuation, risk and projected returns.

This illustrative analysis tests whether rental income, financing and projected sale proceeds support the capital required to acquire and hold the property. The $319,000 acquisition is below the central income-supported indication of approximately $439,763. Year 1 NOI of $28,512 produces an 8.94% capitalization rate against a selected 6.50% benchmark.

Financing materially affects the investment experience. Year 1 DSCR is 0.63x and after-tax operating cash flow is ($18,623). Rental operations do not fully cover debt service, so additional cash is required during ownership. At the same time, scheduled principal reduction pays off the $255,200 loan over the seven-year holding period.

The projected 12.77% IRR and $20,279 NPV meet the selected 10.00% return requirement. However, the outcome depends meaningfully on appreciation, principal reduction and successful disposition. Positive long-term returns do not remove the need to fund operating deficits.

The investment therefore presents a mixed profile. Validate achievable rent, vacancy, expenses, financing terms, property condition, appreciation and selling costs before relying on any projection. Compare alternative financing structures and purchase prices, and obtain relevant professional advice.

Demonstration only: This is a generic sample, not an appraisal, lending decision, tax opinion, offer or guarantee. It contains no verified property listing or comparable-market evidence. Report sections vary with the selected details and research available in an actual analysis.